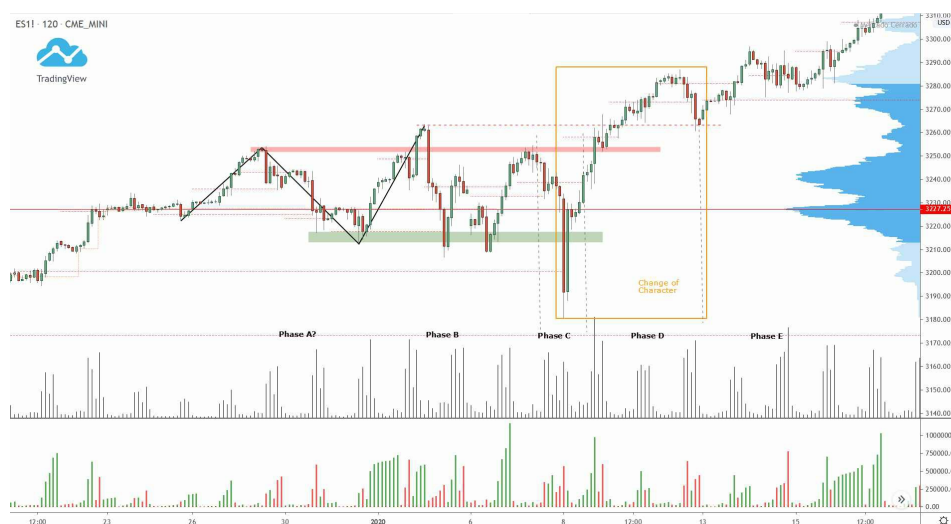




This chart of the FDAX is a very good example of what I am talking about. Once its development is complete I can go back and label every single move if I want, but in real time it is virtually impossible behavior to trade. A structure locked at lows but developing rising highs in turn. It makes no sense to put the focus there.

Besides this type of inoperable structures, it is a good time to remember that theory and practice in real time often do not go hand in hand and that it is necessary to have a sufficiently open mind.



In this chart of the SP500, while it is true that a very genuine structure is observed in its final part, many in real time may have encountered difficulties when trying to identify Phase A.

Price comes up, develops a broad bearish move, and from there another further upward move that surpasses the previous high. Could that succession be the BC, AR, ST? It could, but that is not what is relevant. What is relevant is that a change in character has occurred; that the price has moved from a trending to a sideways state and that a cause is going to be built back up which will have an effect. This is all that matters, the context behind the price action.

Many may still only look for "textbook" structures and, although we see them appearing all the time, the reading offered by the methodology is much more interesting than just staying there



Here is another example of exactly the same. If we observe the market from a strict point of view seeking to identify the perfect movements framed within the proportionality that in theory there should be between phases, we may have problems in identifying them when we see this type of development.

If we treat these three movements that I mark as the SC, AR and ST, Phase B would have very little duration since the only objective event that is observed on the graph is the s shakeout of Phase C. What do we do then if the theory tells us that Phase B should be longer than Phases A and C? Well then nothing, theory is all very well for generalizing events, but real time trading and analysis will require a much more open mind.

Once the trader reaches a certain degree of understanding of the methodology he should focus on seeing the market in terms of price dynamics and not in terms of labels.

PART 2. RESOLVING FREQUENTLY ASKED QUESTIONS

In this section I will delve into some of the most frequent doubts raised by students of the Wyckoff methodology.

It is a source of pride to expose some complex doubt as this is a symptom that the study has been sufficiently deepened. The operator bombards his brain with all the concepts over and over again; and the moment he gets in front of a graph, confusion starts to appear.

This is normal and even more so in a discretionary approach where there are so many elements to take into account. In this part we will address important questions that will help us to further consolidate our knowledge.

2.1 EFFICIENT USE OF LINES

When the retail trader first approaches the markets, he likes to draw lines to identify support and resistance levels in the hope that the market will respect them. But we must know one thing, the market does not care how many lines you have drawn on the chart, nor if they are of greater or lesser thickness or color.

In no case, unless you have a statistical study that verifies it, should the use of lines in isolation be taken into account in trading terms. That is to say, it is not recommended to buy or sell simply because the price has touched a certain line.

The movie that the lines tell us has to do with who is mainly in control of the market. If we observe a bull market in which a clear bullish line or channel can be drawn, the objective reasoning is that the buyers are in control. If what we can visualize is a clear bearish movement channeled between two extremes what we will have is a control by sellers. And finally, a horizontal lateralization with repeated turns on two extremes will evidence a balance between both participants.

Therefore, the idea behind drawing lines, whether to build horizontal ranges, all kinds of channels or simple trend lines should aim

to:

- ❖ Obtain a further footprint of market sentiment
- ❖ Give us an interesting location to bias directionality

Let's continue to work with logic. If we have just reasoned that an uptrend line or channel gives us evidence of a buyer-controlled market, with this baseline information it seems that the most sensible thing to do would be to:

- ❖ Favor purchases.
- ❖ Only operate in sale after seeing the rupture of such lines (of such bullish dynamics).

Here it should be clarified that the fact that the market is rising does not mean that a trend-following strategy (in this case a buying strategy) will necessarily have better results than a counter-trend strategy (in this case a selling strategy). It is simply a matter of identifying where the path of least resistance is (through the upward or downward dynamics) since looking for additions in its favor would offer us a priori trading with a greater chance of success (since we are operating in favor of who has control).

Whether you want to buy or sell when identifying a bullish channel, which locations would be the most appropriate to look for trades? There is no doubt that the most optimal would be to wait for the price at the extremes.

If what you are looking for is to anticipate a market turn (which is not recommended), at least wait for the break of the trend line that determines the latest dynamics that the price is following. It could be a

footprint of momentum loss although without taking into account anything else any trade to try to turn the price would seem too risky.

Now, and continuing with the example of the uptrend, if the price is approaching the bottom of its channel or trend line, is the fact of being in this location reason enough to buy? Absolutely not, except for the exception mentioned above.

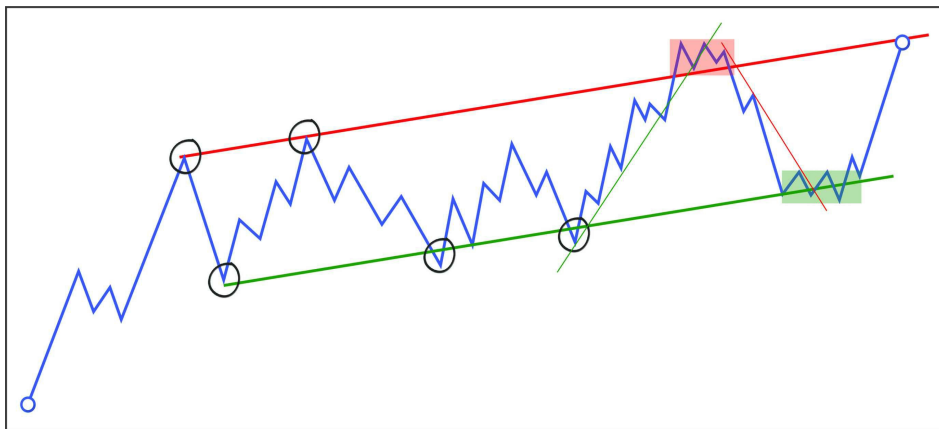
In this example what we observe is that the price is following a dynamic that goes through visiting both extremes; and under the principle of favoring that the market continues doing what it has been doing previously, it would be interesting to look for the incorporation in purchase looking for a new impulse to the rise. But that's it, at this point the power of the lines ends. It gives us a fingerprint on market sentiment and can help determine market bias. Based on the price dynamics we would find ourselves in an interesting area to look for buying, which does not mean that we should necessarily buy.

It is best used in conjunction with other analytical tools, such as the Wyckoff methodology approach. If we identify the price in a location where it is interesting to look for buying, instead of buying directly, how would we look at the possibility of waiting for the price to develop some cumulative pattern in that area? This would seem to be a useful use of the lines.

1. Identify price dynamics
2. Wait for it to reach some extreme to bias directionality
3. Look for the development of some accumulation/distribution structure

2.1.1 THE IMPORTANCE OF THE CONTEXT

If through the analysis with the lines, whether trend lines or some type of channel, we determine that we are in an interesting operating zone (in extremes), it could be the moment to, if the trader so decides, go down in timeframe to look for a lower accumulation/distribution scheme on that location.



Analyzing a high seasonality chart, we would be located in an interesting area for that turn to occur, looking for a movement to the opposite extreme, so an efficient use of the context would be to go down in seasonality to try to operate that minor accumulation structure that will generate the turn.

As we can see, the predictive power of the lines by itself is not very convincing; but used together with other tools they can offer us an operationally interesting use.

2.2 LABEL CHANGES AND SCENARIO BUILDING

As market control may change during the development of a structure, we need to make a continuous assessment of price action and volume as new information is coming into the market and being displayed on the chart. Based on this, we will always give greater relevance to the latest information available to us.

When we propose a scenario, we always do so taking into account all the information available so far, that is to say, based on the market conditions at that present moment. The present moment is the most important thing, and the second most important thing is what immediately precedes it.

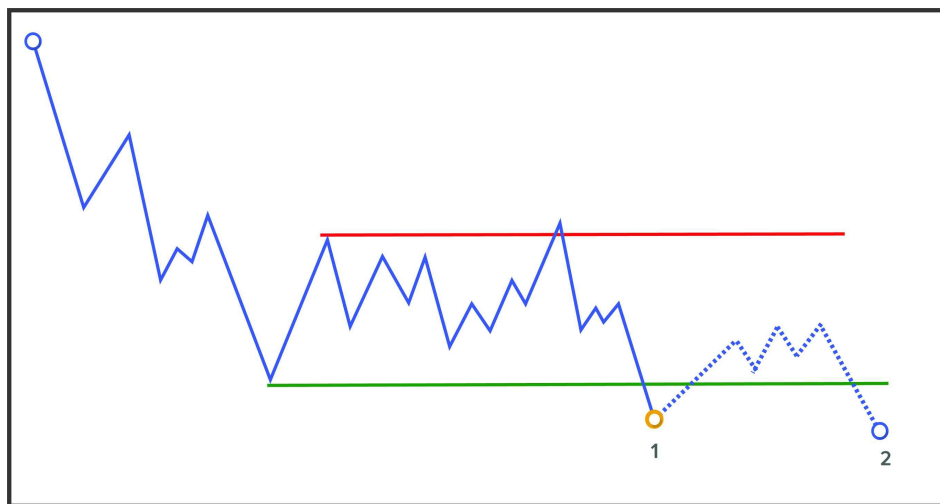
That is why sometimes what a particular action may initially suggest to us, may change condition as all movements have to be confirmed or rejected by the subsequent price action.

There is no point in keeping a scenario permanently active. Many detractors of technical analysis use this very thing to try to discredit it. They see an approach and cannot conceive of the fact that it can be modified. The reality is that the market is not static and that every

moment is unique where new data keeps coming in uninterruptedly.

This is why we will sometimes be forced to vary the sentiment of a behavior and therefore the label we initially gave it. As we have already mentioned, labels are not really important; what is important is the action behind them, what that movement suggests to us. And what that movement suggests to us is determined by the action that follows it.

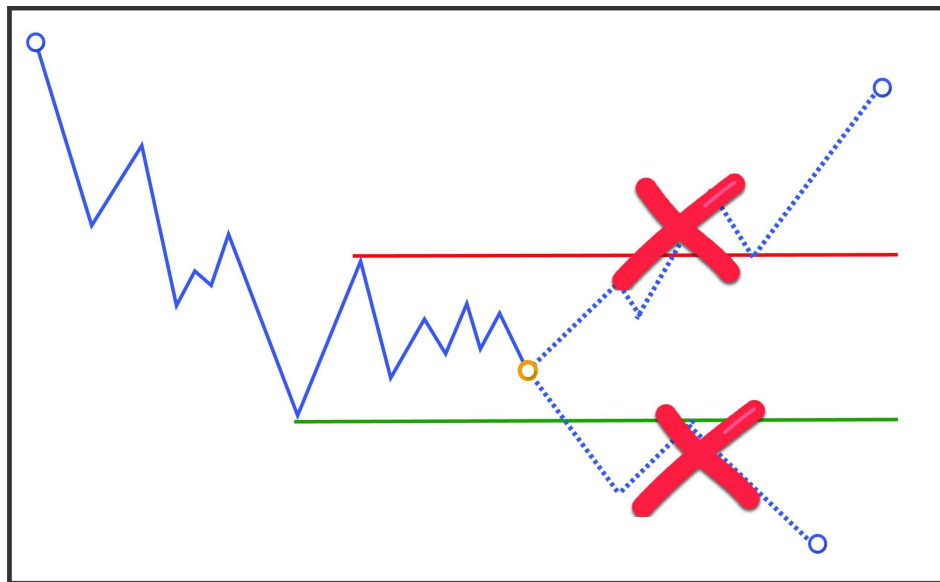
It may be that what at first appears to us to be a shakeout with a test function in Phase C (to give rise to the breakout and continuation out of range), is simply a test denoting intentionality in that direction. But we can only assess this after seeing the subsequent price action.



For example, if a potential Spring fails to develop even one bullish move that denotes some strength (at least a minorSOS), that action would have to change sentiment and instead of seeing it as a bearish jolt that biases us directionally to the upside, see it more as a test of weakness.

In the example chart, as the price is at point 1 we would say that we are in a potential Spring situation. When we see that it does not develop any signs of strength our sentiment about the stock should be changing and when it makes a new low at point 2 the label should be a simple test.

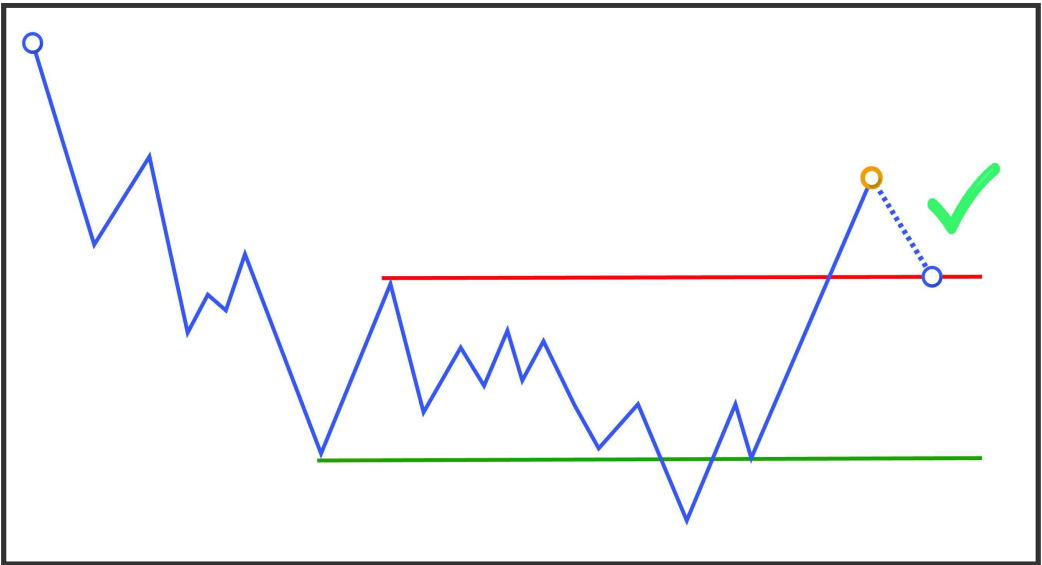
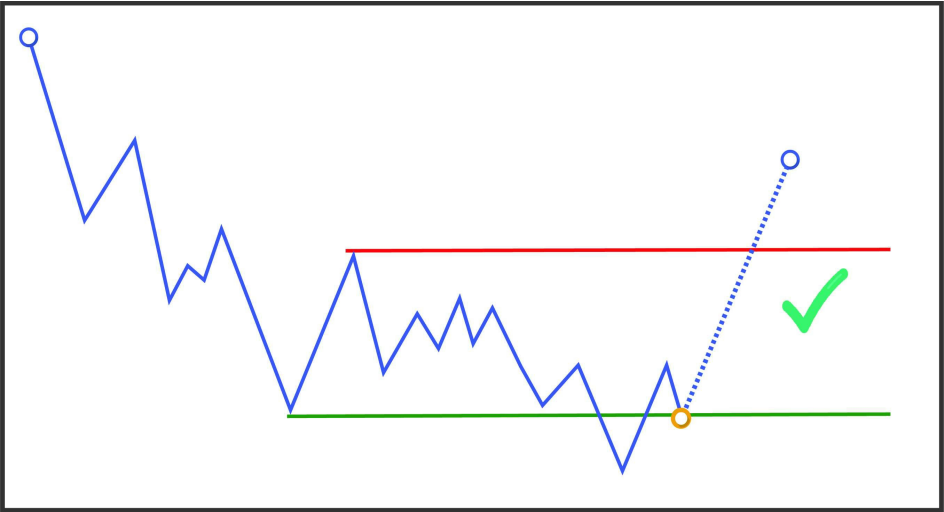
In addition, it is also important to keep in mind that we can only pose solid scenarios on the next move and never beyond. Based on what the price has been doing, we will give probability that a certain move will develop later. And when this is finished, we will be in a position to propose the next one. It makes no sense that for example we are in Phase B and we are already suggesting the possibility of a cumulative or distributive scheme. This is totally out of place.

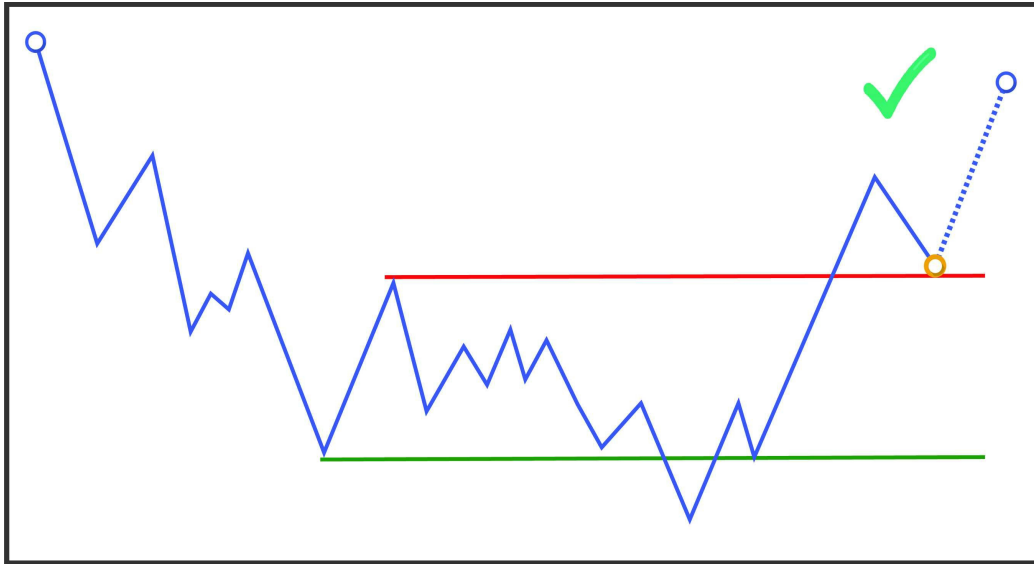


And herein lies one of the advantages of the Wyckoff methodology, in the fact that it provides us with a clear roadmap, a context on which to wait for price movements. When the price is in a position of potential bearish shock (Spring) and our analysis confirms it, we will wait for the subsequent bullish breakout move. And when this develops in the way and form that we expect (with increasing price and volume), we will be able to pose the next pullback move to the level of the broken structure. And when we are in such a BUEC position, we will be able to evaluate to raise the subsequent trend movement out of the range.

This is the dynamic, it is not a question of inventing anything but simply to follow and evaluate in real time the price action and the volume

in order to propose the most probable next move.





The reason is simple; and the reasoning is found again in the previously seen casuistry of failed schemes:

❖ **We do not know the intent of the traders who are supporting the current move.** If they are short term traders who will close positions in the next liquidity zone or if on the contrary they have a longer term perspective and will continue to support the movement until the full development of the structure.

❖ **We do not know whether traders with greater capacity may intervene.** At the moment of truth, in the test after the breakout that would confirm the directionality of the structure, aggressive traders with a greater ability to move the market may appear, pushing in the opposite direction, since in the longer term they may have a different vision.

2.3 HOW TO DISTINGUISH BETWEEN ACCUMULATION AND DISTRIBUTION?

This is the most recurrent doubt and it is totally logical because if we had found the objective answer, we would have finally found the definitive strategy to make money easily.

But no, unfortunately this is not the case. In real time it is not possible to know what it is really about; whether it is about accumulation or distribution. The only time we can confirm what in that range has happened is when the full development of the structure takes place; when we have the cause and effect fully developed. This is the field of work of all those who analyze charts in the past. Let us move away from this.

When everything is finalized it is no longer of any use to us, it is too late to take advantage of the market. We need to enter the market before the effect of the cause is fully developed.

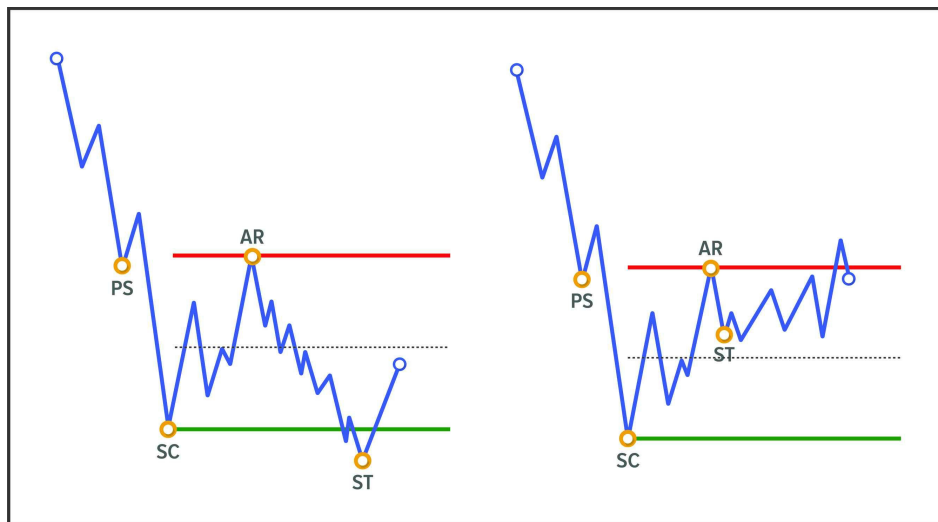
When we pose a scenario we always speak in conditional terms using the word "potential" as there is no certainty about anything. The market is an environment of total uncertainty and our focus should be on analyzing the traces we are observing up to the present moment as objectively as possible with the purpose of trying to determine where the

imbalance will occur.

As we have studied in the content of the first book "The Wyckoff Methodology in Depth", there are certain signals that are informing us during the creation of the cause who is taking control of the market. Below we will make a sort of summary highlighting the most important points to take into account when assessing market sentiment.

1. TYPE OF TEST IN PHASE A

This is the first indication of the whole structure to be evaluated. The generality is simple: we will divide the vertical distance of the structure into two parts and depending on where the Secondary Test takes place, it will give us some information about the condition of the market up to that point.



- ❖ If the Secondary Test develops at the bottom of the structure, or even below the lower end, it will be indicating some underlying weakness.

- ❖ If the Secondary Test ends at the top of the structure, or even above the upper end, it will denote underlying strength.

Analyzing the type of test in Phase A is a very early action in the development of the structure, but it is interesting to evaluate from the beginning with what condition the subsequent development starts. It is a matter of adding up indications in favor of one side or the other (buyers versus sellers).

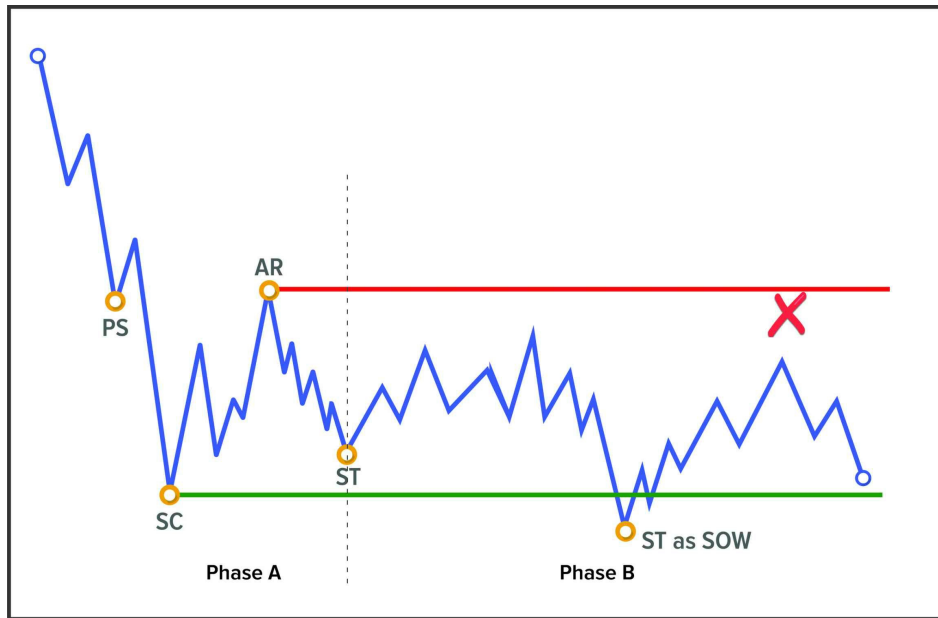
2. TYPE OF TEST IN PHASE B AND REACTION

This is the second of the traces with which we can evaluate the apparent strength or weakness of the market.

From a general point of view we will draw two clear conclusions:

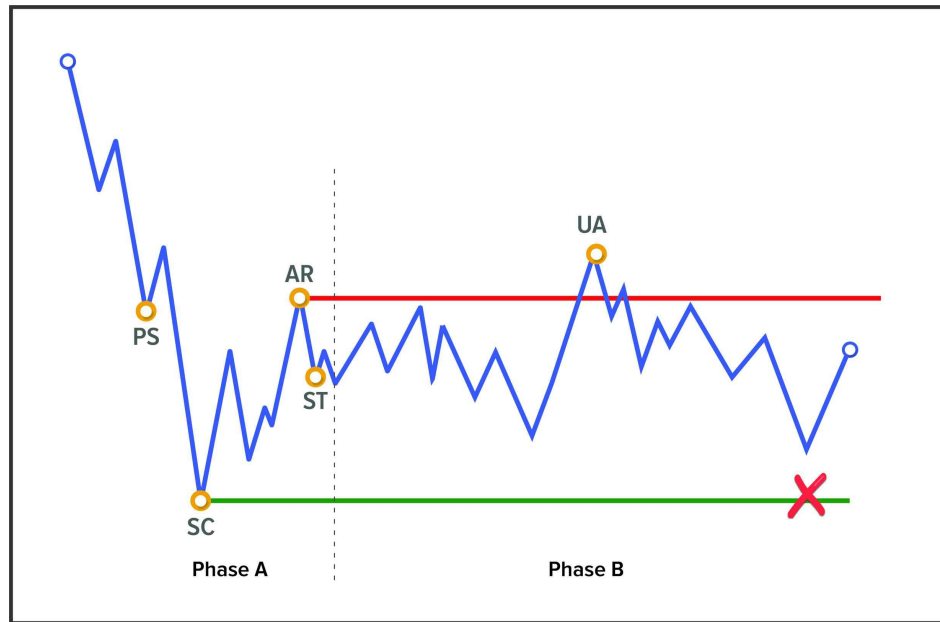
- ❖ Test to the top of the structure would denote strength.
- ❖ Testing at the bottom of the structure would denote weakness.

The logic behind these conclusions is that it is impossible for the price to move to reach that end of the structure and even cause some penetration if there are no major traders supporting that move with conviction. This gives us some confidence in determining whether a move has harmony in its development.



Generally speaking, since it occurs at a very early stage in the development of the structure, this type of test would denote some urgency in the direction in which it occurs. A test at the high end suggests buying momentum while a test at the low end would indicate great market weakness.

A subsequent evaluation of the price action will help us to determine whether this movement has served to trigger the stops of traders who are positioned on the opposite side, thus freeing the market from resistance; or whether, on the contrary, the movement has been used to enter aggressively in the opposite direction.



In other words, a test of the upper part of the structure that manages to break the highs at least slightly and reaches this liquidity zone can be read in two ways:

On the one hand, **such a move may have served to absorb the stop loss orders of those who are positioned short.** With this they manage to eliminate that downward pressure to subsequently initiate the upward movement at a lower cost. This action would be confirmed later when observing that the price finds some support and is unable to continue falling.

On the other hand, **other large traders may have taken advantage of such a test move to the highs to enter into a sell-off.** Such an action would be confirmed later with a visit to the lows of the structure, a genuine representation of weakness.

Therefore, what happens after such a test will be very useful for our analysis. We could even be facing a Phase C test event, hence the importance of evaluating the subsequent price reaction. An inability to

visit the opposite extreme would alert us of a structural failure, which would add strength in the opposite direction; because if it really was the shock in C the price should at least reach the opposite extreme almost immediately.

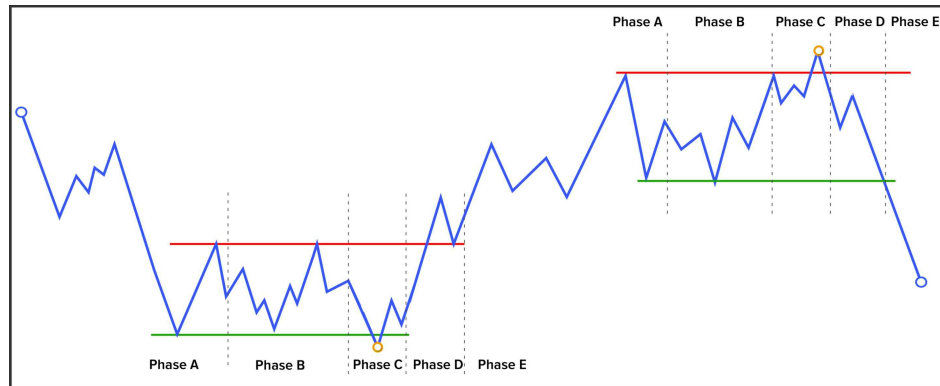
This type of behavior with test at one end and then structural failure at the opposite end is generally characteristic of schemes that initiate trend movement out of the range without prior shakeout at the full ends of the range.

For the case of the cumulative example the test above (UA) plus the inability to reach the bottom denotes a lot of underlying strength and most likely the market will generate the bullish breakout from somewhere in the middle of the structure (LPS) without developing that Spring that we always look for at the bottom.

In the distribution example, the test at the bottom (ST as SOW) followed by the inability to develop a test at the top of the structure denotes a lot of weakness and most likely the market will develop a LPSY as a Phase C test event.

3. THE SHAKEOUT IN PHASE C

The third and main footprint. This is the dominant event in our analysis and approaches.



It is the behavior that gives us the most confidence when trading. A shakeout into a liquidity zone plus the subsequent re-entry into the range denotes a strong refusal of the price to continue moving in that direction and at that point the path of least resistance is to the opposite side.

The minimum objective of a shakeout is the visit to the opposite end of the structure; and if we are facing the test event in Phase C, it will give rise to the effective breakout and subsequent trend development out of the range.

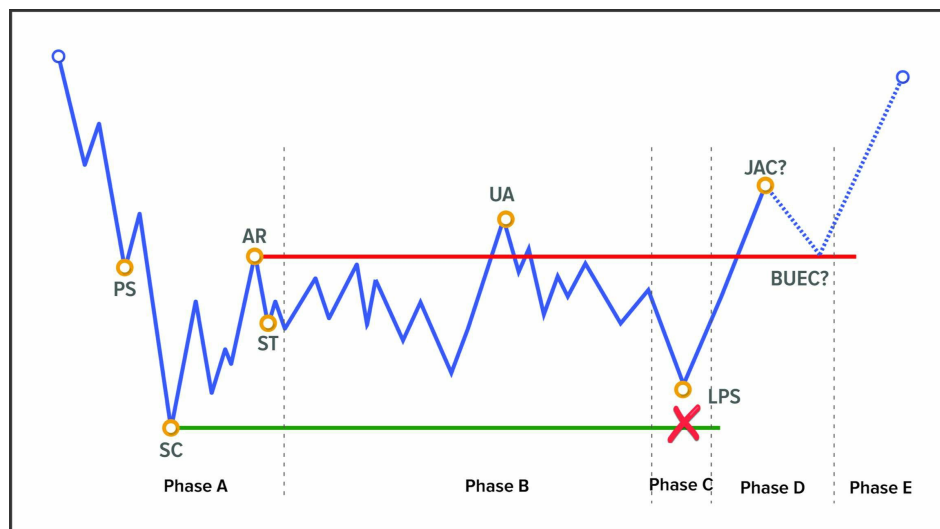
The most important thing when analyzing a chart is the present, what the price is doing right now in relation to what it has been doing. And the second most important thing is the immediate prior to the present. That is, if the current movement is preceded by a shock, that shock is the dominant event that would mark the directional bias of our analysis.

As the market control may vary during the development of the structure, we need to make a continuous evaluation of the new information coming into the market. Then, we will always give a higher relevance to the latest information available to us.

Does this mean that the shock is of greater importance than any other action that has occurred previously in the range? Absolutely yes. By the very nature of the motion, the shakeout alone should be valid enough

to bias us in favor of its direction.

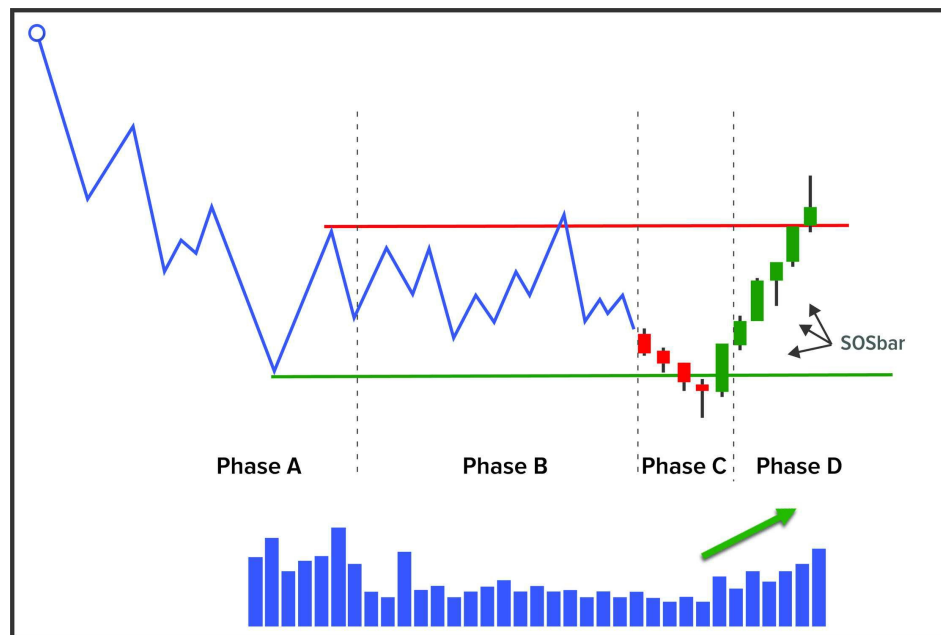
Do we then discard the previous analysis? At the operator's discretion. From my point of view they are small traces that add up to the analysis as a whole. It is a matter of analyzing objectively and adding up indications in favor of one side or the other. And remember that such shakeout does not always appear at the extremes. As we have just seen in the previous section, knowing how to read the traces alerts us to the imminent development of the effect.



If we are in a situation of potential bullish breakout and previously we have not had a Spring to the lows of the structure but we do have a test at the top and subsequently a structural failure below, we know that such behaviors are characteristic of cumulative schemes whose test event in Phase C is a simple LPS and therefore we will be equally in a position to favor the BUEC and bullish continuation.

4. PRICE AND VOLUME ACTION IN PHASE D

This footprint simply tries to apply the Law of Effort and Result between price action and volume.



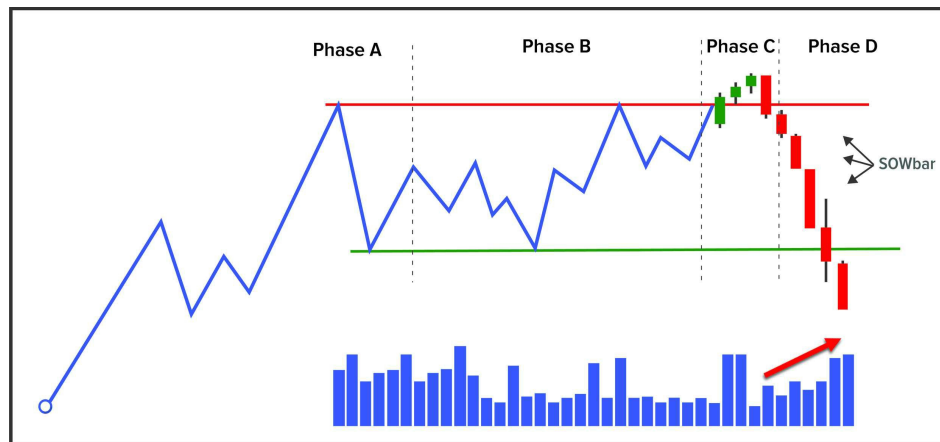
We want to see candlesticks that denote intentionality in favor of the move subsequent to the shakeout and this intentionality is represented by wide ranges and high volume (SOS/SOW bar).

The real value of a shock is seen in whether it has continuation or not. As already discussed, all actions must be confirmed or rejected later. We could be in position for a potential shakeout and initially treat that action as such; but if the subsequent move that is the breakout of the structure does not develop, market sentiment changes.

The shakeout is a search for liquidity but which must also be capable of subsequently generating a move with some momentum that at a minimum reaches the opposite end of the structure and preferably causes its breakout.

For example, if we look at a potential UpThrust After Distribution (UTAD), ideally we would want to see that it is followed by a move with

strong bearish momentum that manages to break the lows of the structure to continue the distributive development. If due to the condition of the market it fails to break the structure, we should at least require it to reach that low leaving such a move as a minor Sign of Weakness (mSOW). Otherwise the market would denote some underlying strength and question whether it was really the genuine shakeout.



That the price is moving with wide ranges, good displacement and an increase in volume is the ultimate representation that such a move is being supported by large traders. The market could not develop such moves without their intervention.

On lower time frame charts such a move of intentionality will be observed as a succession of lower highs and lower lows, the ideal representation of a healthy bearish trend movement.

In the specific action of the breakout we want to see the appearance of high volume suggesting intentionality and absorption of all passive orders placed in that liquidity zone. There may even be times when a wide offset candlestick appears with a wick at its end. For example, in the event of a bullish breakout attempt, this type of candlestick with a wick at the top could initially suggest the possibility of a shakeout, since such a wick

objectively indicates the possibility of a sell entry. But we must remember that we are in liquidity zone and therefore the execution of these orders would be within the expected range. The key is the ability of buyers to absorb this supply, keep pushing and not let the price re-enter the range.

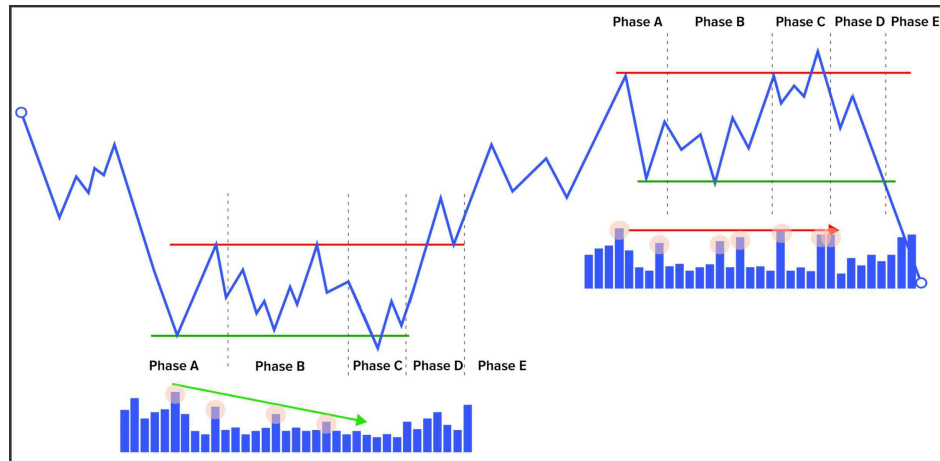
While it is true that we could see a genuine breakout on low volume (due to lack of interest from the opposite side), under normal conditions an absence of volume on such behavior would initially put us more in the position of treating the action as a potential shakeout; although obviously we would have to wait for the subsequent price reaction.

Therefore, the most visual characteristic of a genuine breakout move will be to observe a wide range candle that manages to close near the extreme and is accompanied by high volume. We can then state that this trace is the second in importance after the shakeout.

5. THE OVERALL VOLUME DURING RANGE DEVELOPMENT

The third most important footprint. As a general rule the volume in isolation during the development of the structure also shows a certain identifiable pattern:

- ❖ Accumulation processes will be accompanied by a decreasing volume during the development of the structure.
- ❖ In distribution processes, high or unusual volumes can be identified during the development of the range.



This is obviously a general pattern, which means that this will not always be the case.

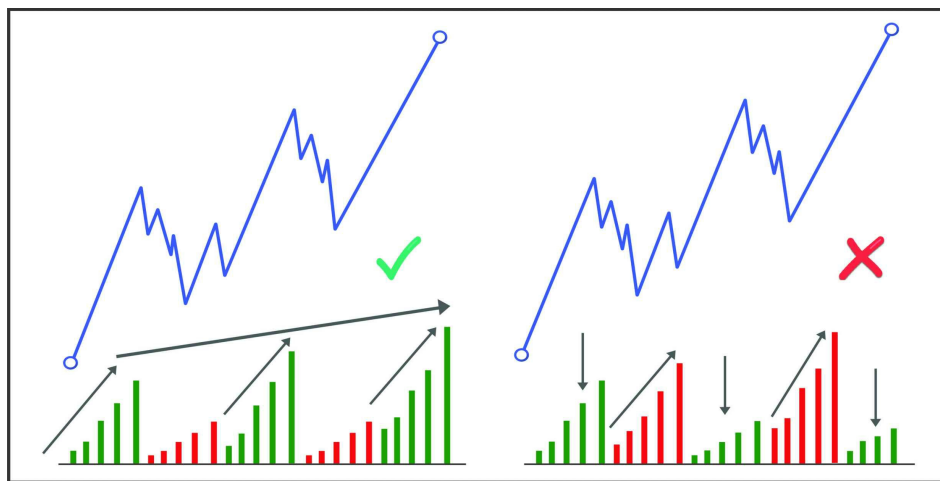
For the cumulative example, a decreasing volume suggests that a process of absorption of the available stock is taking place. As many traders are initially willing to sell, more transactions take place, leading to higher volumes. As time is consumed during the development of the range, units continue to be exchanged but obviously with decreasing intensity, which is represented as a decreasing volume. By the time the generation of the Phase C test event is triggered, practically all the floating supply has been eliminated.

This is quite different in distributive processes. An important characteristic of these schemes is that they tend to develop much faster than cumulative ones. And this is the reason why you can see large price fluctuations and high and constant volumes. This shorter duration forces transactions to be executed with a certain speed; while in cumulative campaigns a certain amount of time is consumed until stocks are exhausted, in distribution processes the urgency to sell causes a rapid development accompanied by high volatility.

6. ANALYSIS OF THE WEIS WAVE INDICATOR

This tool has nothing to do with the conventional indicators known to all.

The Weis Wave indicator collects and analyzes volume data to graphically represent the accumulation of transactions made by price movements. In other words, depending on the configuration we assign to it, the first thing the code does is to identify the start and end points of a price movement. Once this is determined, it adds up all the volume traded during the development of that movement and represents it in the form of waves.

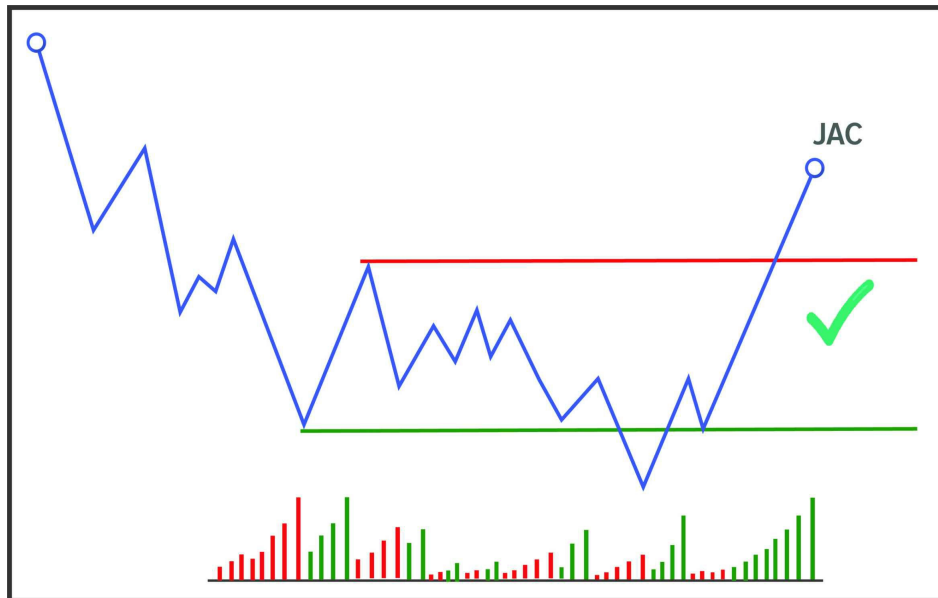


As can be seen in the graph, all waves start from a base set at 0 (the same as the classic vertical volume).

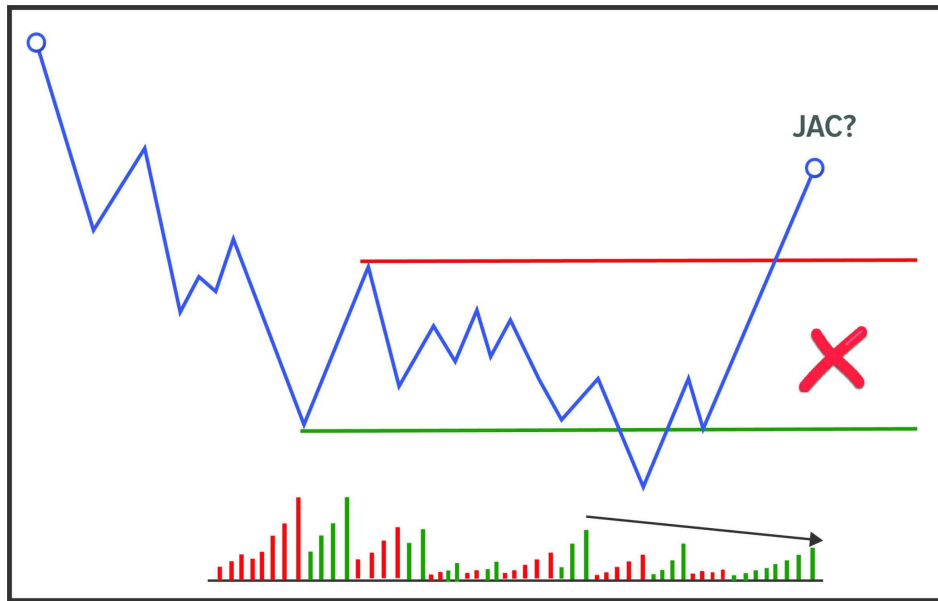
This tool is basically used to perform analysis under the Law of Effort and Result. When developing such analysis we can approach it in different ways:

- ❖ **In the development of movements.** The basic rule when looking for harmony and divergence is that the movements that we initially treat of impulsive character should be accompanied

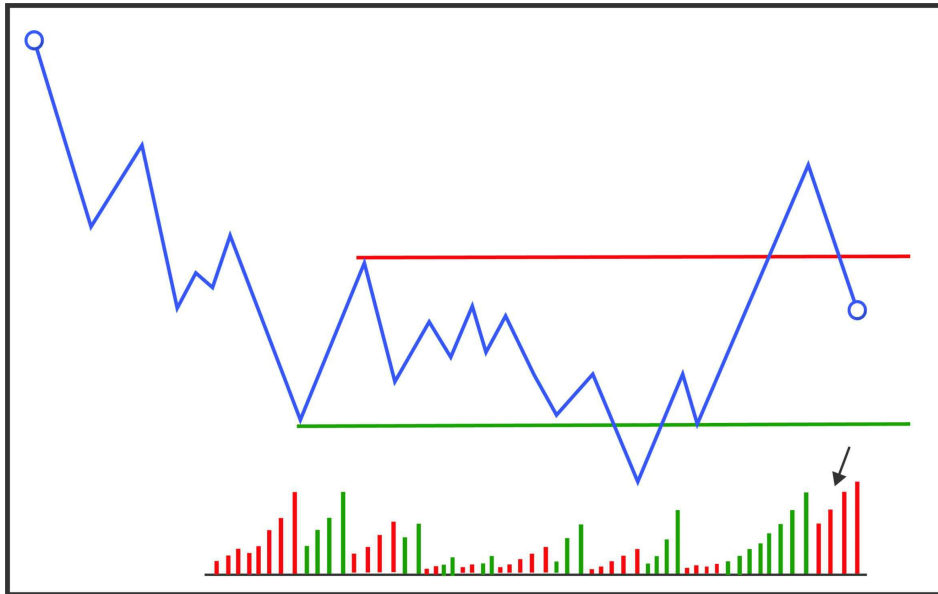
by big waves, increasing waves with respect to the previous ones, which would suggest an increase of interest in the direction of that movement. On the other hand, corrective movements should be shown with small and decreasing waves in comparative terms, suggesting a certain lack of interest in that direction.



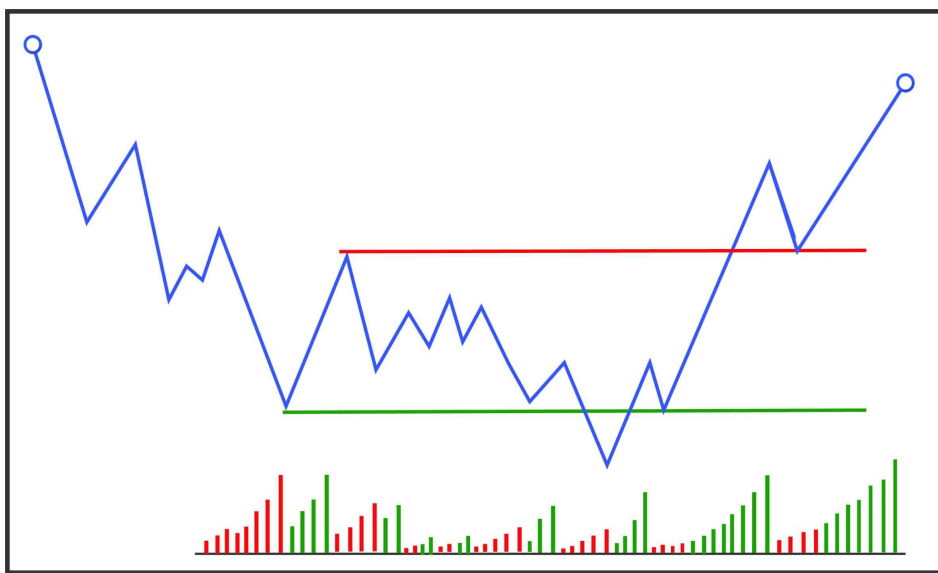
❖ **Upon reaching trading zones.** Similarly, a harmony analysis would be obtained by identifying a large bullish wave whose price movement manages to break a resistance zone. The reading we make is that this movement of impulsive character has achieved the effective break. With respect to an analysis that would suggest divergence would be to visualize the same bullish move that breaks a previous resistance but does so with a very small Weis wave, denoting that very little volume has been traded and therefore suggesting that the large professional is not supporting the move.



We must again be mindful of the importance of continuous analysis. We may see a potential Spring which is followed by a bullish move accompanied by a large Weis wave that manages to break the Creek of the structure (so much for the ideal scenario). At that point we will be favoring bullish continuation (potential BUEC); but strong volume may come in and push the price back into the range and a large bearish wave is observed, now suggesting the possibility of potential Upthrust.



The idea is that just because we see that the footprints are in favor of the initial approach it does not necessarily have to develop. As previously discussed, new information is continually entering the market and we must be aware of this. In the example above, in a potential BUEC situation, we will need to see bearish waves that denote lack of interest in order to more confidently propose a bullish scenario.



2.4 HOW TO ANALYZE A CHART FROM0?

This is one of the first barriers encountered by the beginner trader who starts analyzing charts for the first time from the point of view of price action and volume.

The first thing that should be made clear is that a chart, the cleaner the better. It is no use having a hundred thousand objects drawn on it. The only thing we get with this is to hide the information that is really important: the price. That is why I am in favor of, as soon as a structure has been fully developed, eliminating absolutely everything labeled. In this way we discard the possibility that everything plotted can interfere in further analysis. At most, leave the levels of the structures drawn to visually see quickly where we are coming from.

In this type of analysis where what we seek is to understand what the context of the market is, it is essential to start the analysis from higher time frames to go down in time from there. But from what time frame in particular to start? From whichever one is necessary. Generally the weekly chart will already show all the relevant price action and it will not be necessary to go up to the monthly chart.

Once the chart is open, the first thing we are going to look for are the stop events of any trend movement and the subsequent sideways

movement of the price. Operationally what we are interested in is to see that the market is building the cause of the subsequent move; that is, that it is in Phase B.

Obviously on many occasions you will open the chart of an asset and see absolutely nothing clear, or it may still be in the development of a trend movement that has been preceded by an equilibrium range. In these cases there is nothing to do but wait to see that change in character that determines the appearance of Phase A.

At other times you will identify those stop events plus the generation of some cause in Phase B and the market may find itself in a potential breakout/shakeout situation. This is the ideal context to move down the time frame.

It is a matter of identifying in this higher time frame the general context to determine which scenario would be more interesting to work on, whether to propose a long or short entry. In short, effectively positioning ourselves on the longer-term chart helps us to bias the directionality of our future scenarios.

Until we are clear about the context of the upper chart, we will not be able to go down in time. By context we mean the combination of structures and operating zones:

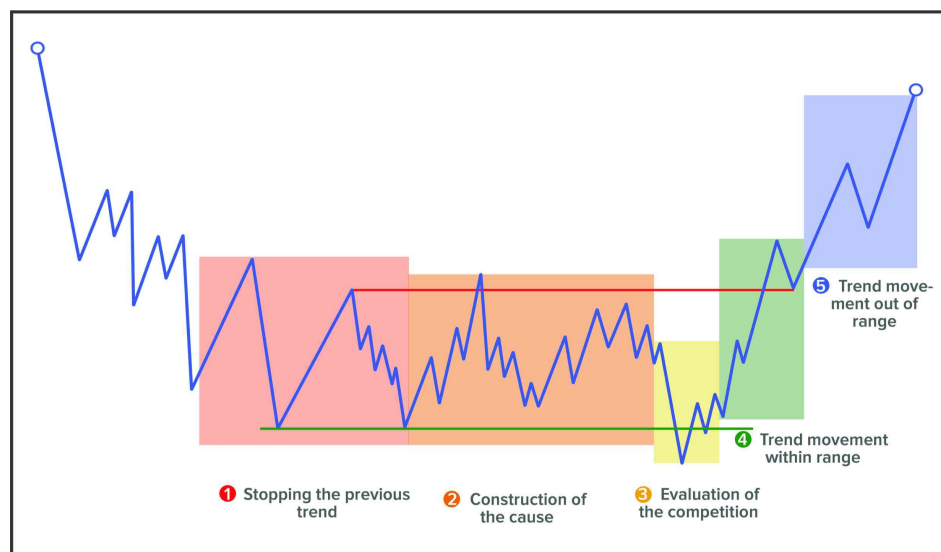
2.4.1 STRUCTURES

This is where the importance of having thoroughly studied the

whole theoretical section of the first book "The Wyckoff Methodology in Depth" comes in. Structures provide us with a clear roadmap that will guide our scenario approaches. For example:

- ❖ If we are in Phase B building cause, we are going to wait for price at the extremes of the structure to look for breakout/shakeout action.
- ❖ If we are in a position to confirm a shakeout, we will wait for price to reach the opposite extreme with some momentum.
- ❖ If we are in position for a potential genuine breakout, we will wait for some kind of test to the broken structure to continue the development out of the range.

If we do not really know how the market moves from this point of view of structure development it is impossible for us to pose judicious scenarios. Therefore, the first thing to do is to internalize how these accumulation and distribution processes generally develop:

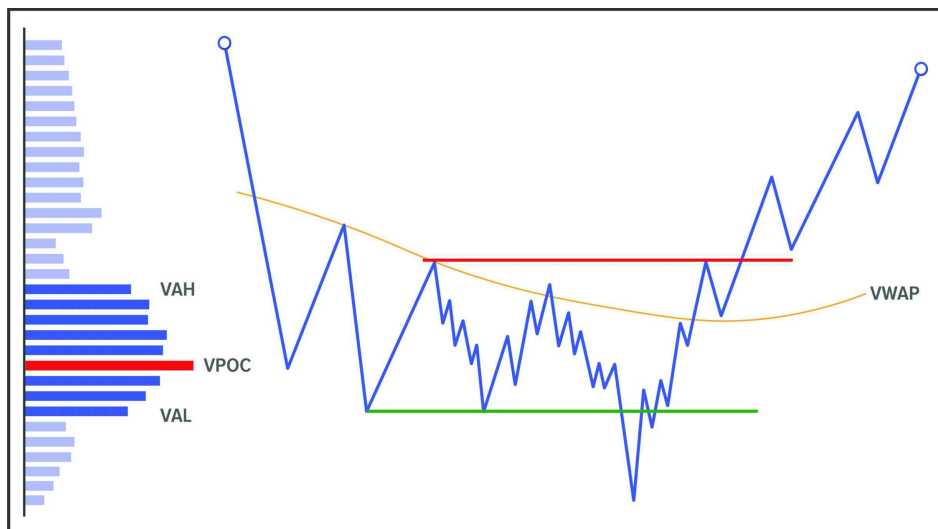


1. Stopping of the previous trend

2. Construction of the cause
3. Evaluation of the opposition
4. Trend movement within the range
5. Trend movement out of range

2.4.2 TRADING ZONES

The objective is to identify the location of the trading zones according to price levels.



To do this we are going to use the Volume Profile tool. Although we will deal with this tool in depth later on, for the moment we are going to keep in mind that it helps us to identify trading zones as well as operating levels based on volume that will be very useful for the planning of scenarios, among other things.

As the market moves from one equilibrium zone to another, we must know where we are at the present moment and what the trading zones above and below are to take them into account as possible targets to visit.

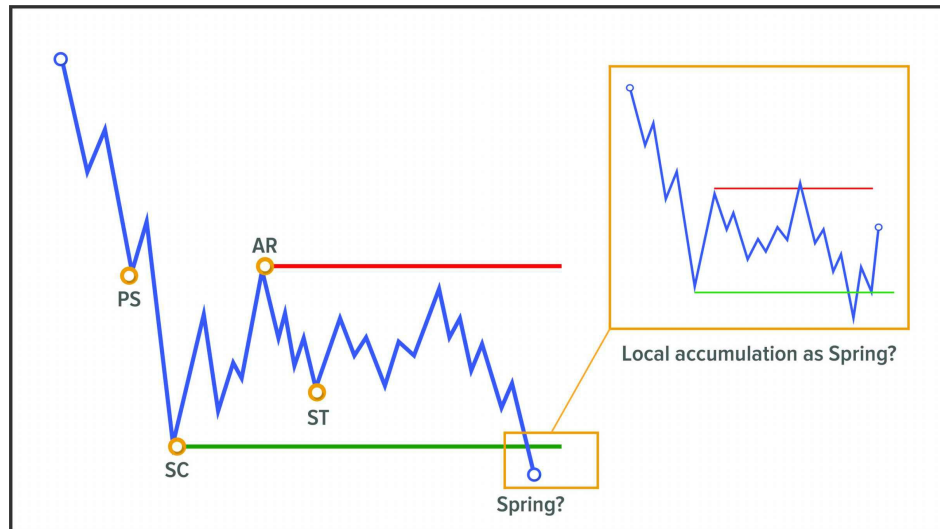
The Volume Profile is a tool that adds objectivity to our analysis and in confluence with the reading of the market offered by the Wyckoff methodology enables us to better determine who is likely to be in control of the market.

2.4.3 LOWERING TEMPORALITY. STRUCTURES FROM HIGHEST TO LOWEST.

Once this general context is clear; that based on where the price is on the upper chart we determine as more interesting to raise longs or shorts; and that we have identified the trading zones both above and below, we can move down in time frame to start a new analysis there.

We could then open the 8, 4 or 2 hour chart as an intermediate time frame.

Once the first more general analysis is done (on the monthly, weekly or daily chart), we may determine that the market situation is favorable to look for a buy entry. At that point, it would be interesting to see the development of a minor accumulation structure that would support such an idea. For example:

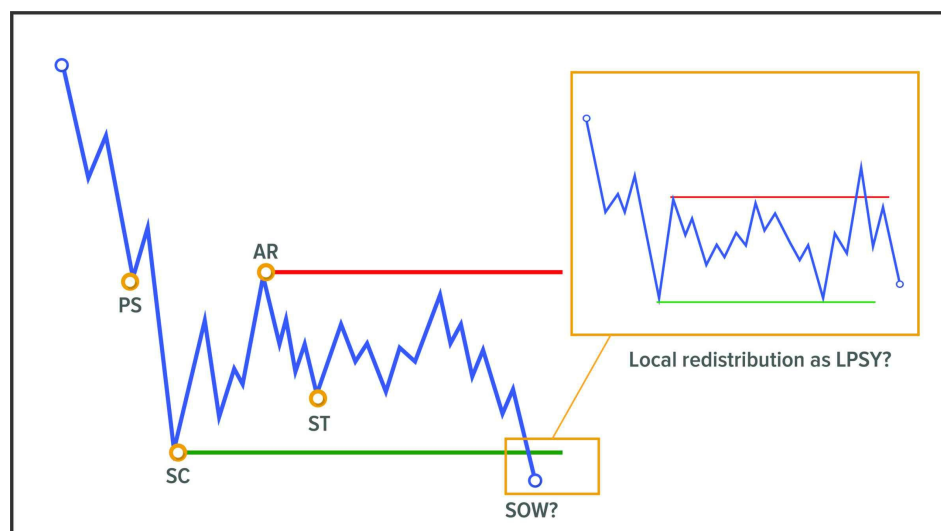


- ❖ If we are in a potential Spring situation (Phase C) of the above time frame, looking at footprints in a minor structure suggesting some buyer entry would be the ideal situation. On the one hand we are in an interesting operating situation of the macro structure and at the same time we observe a potential cumulative minor structure. We would be facing a potential cumulative minor structure that, if confirmed, would act as a function of the potential Spring of the major structure.
- ❖ If we are in a situation of potential BUEC (Phase D) after a bullish breakout and the analysis of the traces accompanies, in that position we should favor the continuation of the roadmap of the development of the structures and therefore look for a minor structure of re-accumulation in function of test to the broken structure to continue later with the trend movement out of the range.
- ❖ If we find ourselves during the development of an upward trend movement (Phase E), we will favor the development of minor structures of accumulation to try to join the longs in favor of the

movement. We do not know the momentum with which the market may move and the imbalance in favor of this direction may have a certain urgency. This urgency can lead to the development of fast structures and that is where we want to be.

This is why we move down the time frame: to look for minor structures that fit within the context of the analysis of major structures. This is the dynamic that we have to keep in mind with respect to context analysis, where minor structures fit within major structures.

But be careful because the fact that we are initially biased towards one direction should not cause us not to be totally objective when analyzing that minor structure, because as we already know, we would be in key zone, liquidity zone and it is susceptible to cause the entry of large volume to the market. In other words:



- ❖ The situation of potential Spring is also at the same time a situation of potential effective bearish breakout. The analysis of the major structure may suggest to us so far that the buyers are in control; but if during the development of this minor structure we do not observe these same indications, and on the contrary we see

the appearance of strong selling, it would not make sense to continue favoring the cumulative scheme and instead we should consider the bearish scenario.

- ❖ The situation of potential bullish breakout is also at the same time a situation of potential Upthrust. If at the moment, where we should favor the development of a minor cumulative scheme in function of BUEC of the major structure, the price generates a minor distribution structure, this would activate the short scenario and would leave such a minor distributive structure in function of Upthrust of the major one.

Hence the importance of being open-minded and not too rigid with respect to directional biases. In addition, it is always necessary to have both long and short scenarios prepared in order not to hesitate at the time of decision making.

If desired, it is possible to go further down in time for the analysis of structures. The key point is to favor the development of larger structures over smaller ones. With

this principle in mind, it is up to the discretion of each operator to decide how far to go down in temporality. Keep in mind that the lower you go, the more noise you will observe.

2.4.4 RISING TEMPORALITY. STRUCTURES FROM LOWEST TO HIGHEST.

Another very recurrent doubt is what type of structure to work with, how to decide to move from one structure to another.

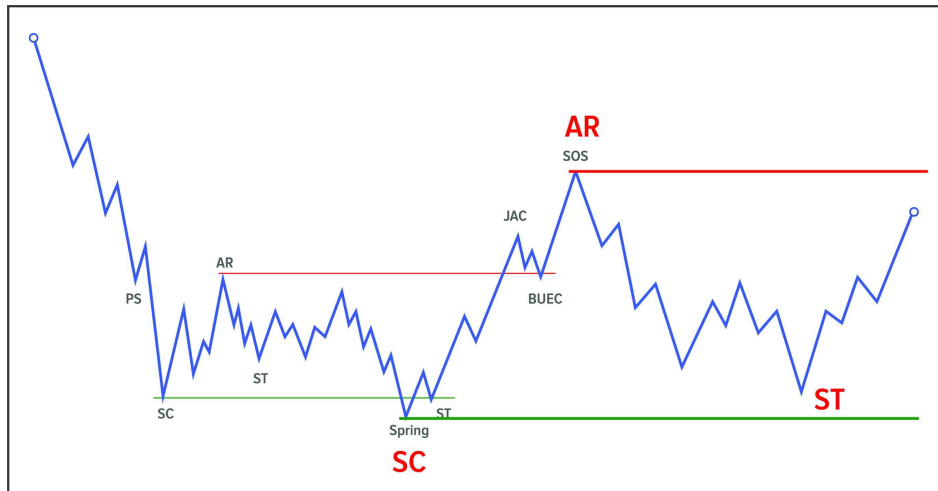
It is a somewhat more complex doubt that already denotes certain knowledge of the methodology. After internalizing all the theoretical knowledge, the subconscious begins to reason and raise this type of interesting doubts; and this fact is tremendously significant as a sign that a good job is being done.

Unlike what happens in the analysis of the context where the development of the major structures is prioritized and the minor structures are fitted into them; when it comes to the first identification of a structure we will prioritize the development of the structures of lower time frames and then move on to higher time frames if the price tells us so.

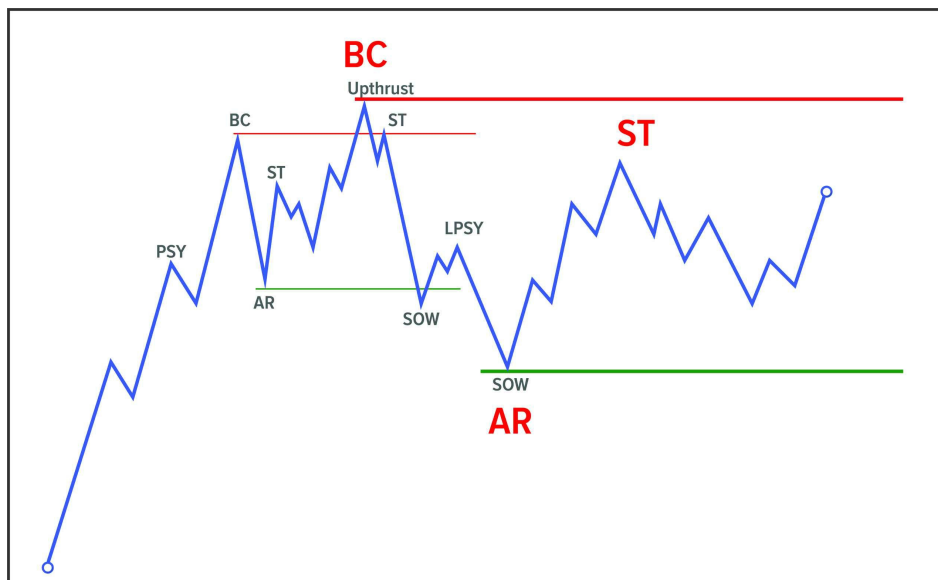
When the market is developing the effect (trend movement) of a previous cause (cumulative/distributive range) we will be looking at lower time frames mainly for two reasons: to identify minor structures with which to join the movement; and to identify the stop of such a trend movement.

The first of these reasons has already been discussed in the previous section and is one of the situations for which we go down in temporality. This time it is a question of analyzing when to move up in temporality.

In this context of speed, minor structures may begin to develop and these could be the origin of the development of major events visible on higher time frames. For example; if the market is falling and we observe the development of a rapid accumulation pattern over a small time frame, the effect of this minor accumulation may be the generation of the Automatic Rally event visible over a higher time frame.



It may initially seem a bit confusing but it is not at all. I repeat the example in reverse: If the market is rising during the development of Phase E after an accumulation, we may observe a distributional pattern that will act as a Buying Climax event, and the effect of that distribution would act as an Automatic Reaction event of some higher time frame.



Obviously it is not necessary to go down the time frame for the identification of such events; everything will depend on the type of trading you decide to carry out. There are experienced traders who operate this type of minor counter trend structures but being aware that they must

be short term movements, according to the structure that has been developed.

It is only to exemplify under what condition it is reasonable to move up the time frame in order to be clear about the general analysis.



In this real example we see in confluence a failed accumulation structure rotating into a larger accumulation structure.

The concept has originally been explained as a minor structure that is fully developed and which in turn is part of a larger structure. In this example we see another way in which such a concept can appear on the market.

We see the unfolding of all the events of a minor cumulative structure and how at the moment of truth, in a position of potential BUEC, the market leaves a continuation failure to the upside. This is exactly where the trader may want to consider as more logical the possibility of observing all of that price action as a whole as if it were part of a larger structure. In this way, the Automatic Rally of the longer term will be determined from the low of the SC to the high of the UA of the smaller structure. Likewise the JAC will now be seen as a simple test denoting strength (UA) and from there the rest of the cumulative events will appear.

To highlight from the first moment the strength that existed in the background evidenced by the inability of the price to visit the bottom of both structures. Another interesting detail is to see that the major BUEC develops just above the High Volume Node, which also coincides with the VPOC of the entire structure.

2.5 WHAT TO DO WHEN THE CONTEXT IS NOT CLEAR?

We may open a chart and see absolutely nothing clear. Neither a clear trend movement, nor a sideways movement preceded by a pause. In this situation we have two options:

1. INCREASE THE TIME FRAME

As we know, the smaller the time frame, the more noise we see. It is very healthy on these types of occasions to move up in time frame to see the big picture of where we are.

What looks like chaos to you on intraday charts may make sense to you on higher time frames.

If you have done a good analysis from scratch as we suggested, you will have moved from higher time frames to lower time frames. So, simply stay at the time frame where you see the clearest price action and don't go any lower.

For example, if doing the context analysis you are well placed in H1, go down to M15 but you don't feel comfortable there, go back up to H1 and discard the possibility of analyzing lower charts.

2. CHANGE ASSETS

You may not be able to position yourself solidly on any time frame. At this point and taking into account the amount of tradable assets there are today, what need do we have to trade something that we don't really see clearly? It doesn't make sense.

Whether you trade stocks, indices, currencies, commodities or cryptocurrencies, the number of these tradable assets is large enough that you don't need to be forcing analysis, so if something is not clear to you, just move on to the next one.

2.5.1 THE CONTROLLER

This question also comes in handy to identify one of the biggest mistakes that some traders make when deciding to trade only one asset. This leads them to want to control every single price movement, which can be disastrous for the account. That word, control, may be one of the most damaging words in the world of trading. You can control absolutely nothing. Our focus should be on trading only the clearest setups with the best possible risk/reward ratio.

A very curious thing is that it often happens that the trader who trades only one asset trades on small time frames. It is the perfect combination for ruin. And as he will surely like the labels (for the fact of having controlled each movement), we have a trader who is leaving his eyes and mind trying to decipher each one of the movements and on top of that he practically does not see what the price is doing as he will have a 1 or 2 minutes chart full of labels.

Let's move away from this because it is impossible for anyone to hold on like this for long. The energy expenditure is brutal and the concentration required maintaining an optimal level of judgment is extremely high. Very few will actually be able to do this kind of trading. The vast majority are doomed to suffer from severe distress.

Let's move up the time frame and cover more assets. It is certainly good to specialize in one market (as each has its own peculiarities regarding best times, volatility etc.), but don't focus exclusively on one. Have a list of a few (even if they are 3 or 4) to follow and specialize in them if you want.

Lastly, we keep forgetting that a large part of market movements are random in nature; and this simply means that they do not have a directional intention behind them. As I discussed in the first pages of my first book, some of the ranges fluctuate up and down without any intentionality behind them, without constructing any kind of cause. It is pure randomness. They are those ranges where you see absolutely no clear footprint and you cannot make a judicious analysis of who might be in control of the market. You have to be aware of this.

PART 3. TODAY'S TRADING ECOSYSTEM

Although the following section is not directly related to the more technical focus of the Wyckoff methodology, it is important and enriching to understand the general context in which today's markets move.

The markets have undergone a paradigm shift and have migrated in just a few years from trades carried out entirely by people in person to fully electronic trades thanks to technological advances.

This has contributed to the emergence of new players in the investment world, new ways of operating and even new markets.

Undoubtedly, all this has led to a democratization of investment, allowing access to the retail trader, who not so many years ago was banned from participating. In this respect, it is no coincidence that most retail operators are losing out. The whole industry is set up so that their participation simply serves as another (very small) source of providing liquidity to the market.

It is important to keep your feet on the ground. The world of

trading and investing is far too complex for a retail trader at home, with an internet connection and a computer, to make any return on his capital. It has everything going against it, starting with the fact that it is a field dominated by large institutions which spend huge amounts of money on both developing powerful tools and hiring the most skilled people.

We will now take a very basic look at some of the lesser-known aspects of today's trading ecosystem that are of some relevance and could influence our trading.

3.1 TYPES OF FINANCIAL MARKET PARTICIPANTS

Understanding those who have the ability to influence price movements gives us a more robust viewpoint when making trading and investment decisions.

Financial markets are made up of a variety of players with different ways of operating based on their needs at that specific moment in time.

One of the biggest mistakes we can make is to think that all market movements are orchestrated by a single entity; or to distinguish between professional and non-professional traders. When these terms are used, as well as "strong hands" and "weak hands", they are used from the point of view of understanding who has more control of the market, not with the objective of seeing it as a war between institutional versus retail, because as we know, in the most traded assets, retailers have little or nothing to do with it.

It should be borne in mind that everything also depends on the volume traded in each particular asset. The higher the volume, the more intervention will come from large participants.

For example, one of the largest traded assets in the world, the

American S&P 500 index, is almost entirely controlled by large institutions, where 90% or more of the volume comes from them. It is a battle between them. No trade can be executed without one institution being willing to take one side of the position and another institution being willing to take the opposite side. The market will not be able to move the slightest tick if there is not an institution behind every move.

Conversely, assets that move very little volume can be influenced by less able traders. This is why it is generally not recommended to trade assets with low liquidity, in order to avoid possible manipulations.

Our objective therefore is to analyze the behavior of the chart to try to determine on which side most of the institutional money is.

We will categorize the different market participants according to their intention:

HEDGING

This is basically the execution of financial transactions aimed at nullifying or reducing risk. They consist of the purchase or sale of a product that is correlated with the asset on which the hedge is to be established.

While the main objective of hedging is to limit risk, it can also be used to secure a latent profit or to preserve the value of a fixed asset.

These traders do not care about the price direction as it is not the core business of their company. They do not trade with a directional intent and take a more long-term view.

Although there are different ways in which hedging can be carried out, the most traditional form of hedging is producer-oriented hedging:

An example would be an airline company that buys oil futures as a resource to balance its fuel costs.

Another example might be a large international importing and exporting company that purchases foreign exchange to hedge against possible price changes.

Market makers would also be included in this category as they could go to the market depending on their needs with the objective of keeping their total positions risk neutral.

SPECULATION

Unlike hedgers, who basically trade to reduce their exposure to risk, speculative traders take on risk when opening their positions.

If given the current market conditions they consider the price of the asset in question to be cheap they will buy and vice versa if they consider it to be expensive with the sole objective of profiting from the price movement.

Here we find hedge funds, funds, trading firms and in general any institution that operates directionally in the market to seek profitability.

They cover different timeframes and execute trades also through high frequency algorithms.

They are the most active traders in the financial market. Basically,

they focus on the search for liquidity zones since, due to the large amount of volume they move; they need this counterpart to match their orders.

There is a common misconception that all institutions are profitable. Many of these institutions are the preferred victims in the financial market as they move significant amounts of volume and possibly have an unsound trading approach.

Although not purely speculative in nature, some options traders could be included in this category because if they have a large open position in the options market, they are very likely to also turn to the futures market to try to defend it if necessary.

ARBITRAGE

It consists of taking advantage of financial market imperfections. These traders observe some inefficiency in prices and execute transactions with the aim of correcting it and adjusting prices.

There are different ways of arbitrage: either trading a single product, trading different correlated products, trading between different markets and even trading between contracts with the same and different expiration dates.

An example would be trading a de-correlation between two markets of the same asset, such as the spot market and the future. We can have for example the cross currency of the euro against the dollar (EURUSD) and the derivative in the futures market (6E). An arbitrage strategy will take advantage of the minuscule price difference that may exist between these

two markets to obtain an economic benefit.

Away from this we also have the Central Banks. They are the ones with the greatest capacity, since they direct the monetary policies of countries mainly by setting interest rates.

Of the types seen, the only one that would enter the market with the directional objective of adding pressure to one side or the other would be the speculative trader. The rest of the transactions would have different intentionality but would still ultimately be represented on price.

The fact that not all trading is speculative in nature is a very important factor to consider. Many make the mistake of thinking that every trade has directional interest behind it and in most cases this is not the case. There are many types of participants that interact in the market and the needs of each one are different.

In addition to the intentionality of the trade, it is worth highlighting the different uses of timeframes used by some traders and others. While some take into account the short term, others maintain medium or long term strategies. The key point is that each and every one of the market movements is being supported by a large institution and that at any time another one with a longer-term perspective and a greater capacity to influence the price may enter the market.

3.2 ELECTRONIC MARKETS

Since 2007, exchanges have gone from being controlled by humans to a fully automated and electronic environment where really all there are computers in charge of processing and matching orders.

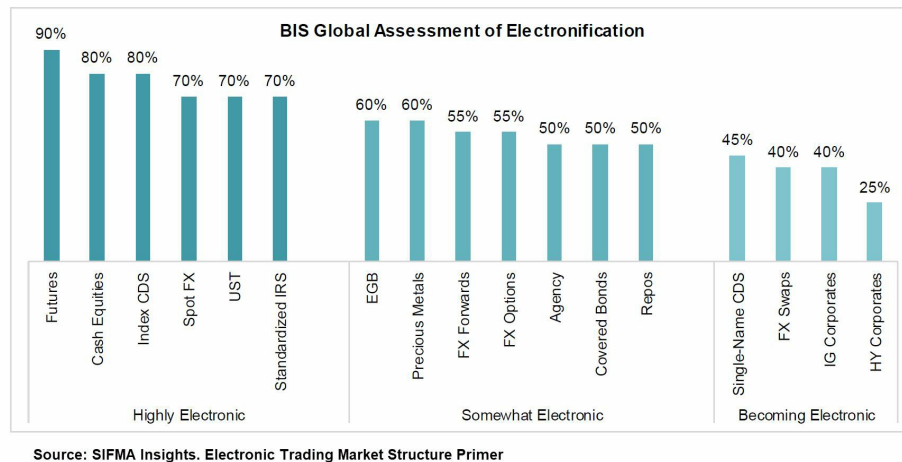


Source: SIFMA Insights, Electronic Trading Market Structure Primer

With the advent of new technologies, computer advances and regulatory changes in the financial world, the importance of speed in transmitting and receiving data has become increasingly important, reaching the current moment where electronic trading represents the majority of traded volume.

The most traded products such as futures, equities and index CDS show the highest degrees of electronification at 90%, 80% and 80% respectively. On the other hand, corporate bonds are at the lower end of the spectrum as they are more bespoke products, accounting for 40% and

25%.



All these developments have improved market efficiency by adding liquidity, reducing costs, increasing speed of execution, improving risk management and enabling access to specific markets.

3.2.1 ALGORITHMIC TRADING

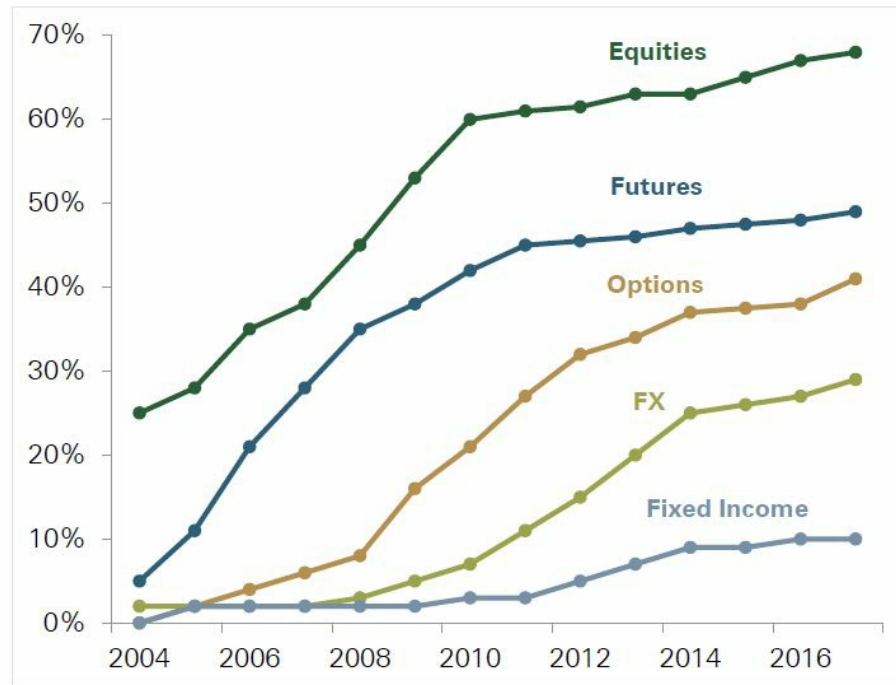
It is a process of executing orders based on well-defined and codified rules carried out by a computer automatically, thus avoiding human involvement.

It uses complex statistical and econometric models in advanced platforms to make decisions electronically and independently.

It mainly uses price, time and volume as variables; and was developed to take advantage of the speed and data processing advantages that computers have over human traders.

These strategies interpret market signals and implement trading strategies automatically based on them, with trades of varying lengths.

Exhibit 2: Market Share of Algorithmic Trading by Asset Class



As of 2017.

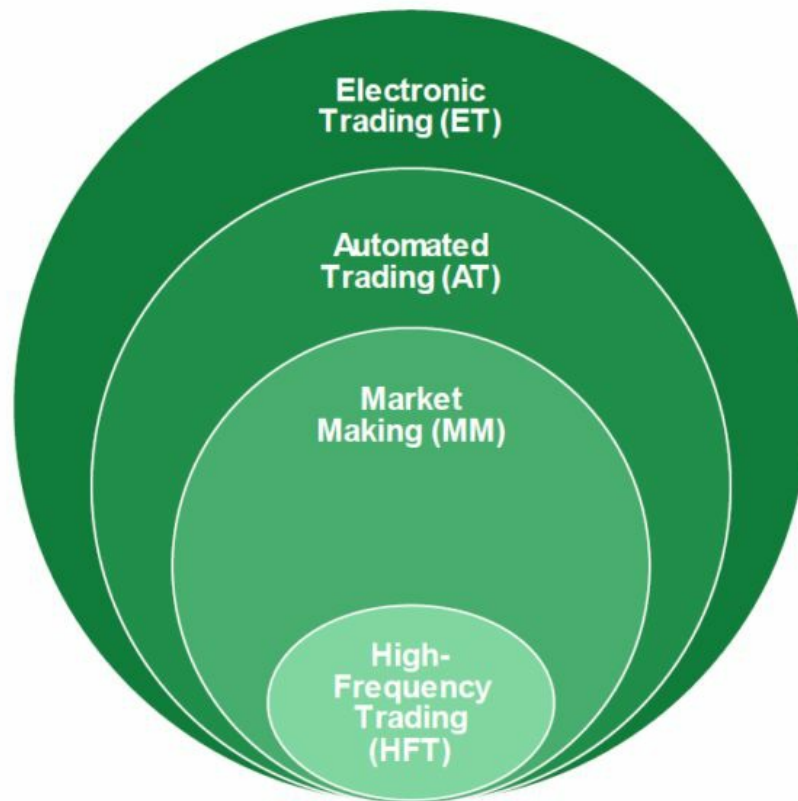
Source: Goldman Sachs, AiteGroup

The increase in market share in recent years of algorithmic trading in all types of assets is simply spectacular, and forecasts for the following years follow the same dynamics.

One of the reasons for such growth is due to the emergence of artificial intelligence in the financial sector.

3.2.2 HIGH FREQUENCY TRADING

High Frequency Trading is a type of algorithmic trading but applied on the scale of microseconds trying to profit from very small changes in asset prices.



Source: SIFMA Insights. Electronic Trading Market Structure Primer

It is based on the use of mathematical algorithms with which orders are analyzed and executed according to market conditions. They perform thousands of trades in a short period of time, making money systematically and with a high probability.

Their main advantage is the speed of processing and execution, which they achieve thanks to the dedication of powerful computers. This is why the general public who operate from home simply does not have the means to access this type of trading. It is therefore a style reserved almost exclusively for institutional traders with large capital.